EXECUTIVE SUMMARY

1. Introduction

The LGU was founded in 1580s by Juan de Salcedo. He found in Camalaniugan, a flourishing community of farmers and fishermen led by Guiab. At that time, Camalaniugan encompassed a large area that included what we know now as the towns of Buguey, Sta. Teresita, Gonzaga and Sta. Ana. Camalaniugan was one of the first towns in Cagayan to be so organized. At present it is composed of twenty eight (28) barangays and ranked as 4th class municipality.

With its existing development trends, strategic locations and resources, the Municipality is envisioned to be the center of Agro-Commercial progress in the province and region as well, where dignified Camalaniugeños feel the enjoyment of improved quality life in a balanced environment thru the principle of good governance.

Records show that through its fast and ever changing economic and political development, the municipality was awarded by institutions, both private and public, as follows:

a. The Seal of Good House Keeping Bronze Category
b. One of the Best LGU Anti Red Tape Act Implementer
c. The Seal of Good House Keeping Silver Category
d. The Seal of Good Financial House Keeping; and
e. The Seal of Good Local Governance

The audit covered the accounts and operations of the Municipality of Camalaniugan, Cagayan for the year 2018 and was aimed at determining whether management presented fairly the financial statements of the Municipality in adherence to the International Public Sector Accounting Standards, whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, compliance, and performance audits were conducted to achieve these audit objectives.

2. Financial Highlights

The highlights of the financial condition, financial performance, appropriations, allotments and obligations of the Municipality of Camalaniugan, Cagayan for the year ended December 31, 2018 with comparative figures for CY 2017 are as follows:

Particulars	2018	2017	Increase(Decrease)	
			Amount	Percentage
Financial Position				
Assets	121,587,446.80	115,737,604.14	5,849,842.66	5.05
Liabilities	56,348,330.91	59,986,880.75	(3,638,549.84)	(6.07)
Govt. Equity	65,239,115.89	55,750,723.39	9,488,392.50	17.02
Financial Performance				
Income	101,024,082.21	93,415,001.88	7,609,080.33	8.15
Expense	85,243,366.72	74,734,597.58	10,365,769.14	13.84
Appropriations, Allotments and Obligation				
Appropriations	139,277,424.58	101,816,541.28	37,460,883.30	36.79
Obligations	121,919,565.03	84,822,935.20	37,096,629.83	43.73

3. Independent Auditor's Report on the Financial Statements

The auditor rendered a qualified opinion on the presentation of the financial statements of the Municipality of Camalaniugan, Cagayan as at December 31, 2018 due to the following:

1. The discrepancy between the value of Property, Plant and Equipment in the financial statements and the Report on the Physical Count of Property, Plant and Equipment (RPCPPE) amounted to P51,317,222.26 due to the continued non-reconciliation and non-maintenance of Real Property Ledger Cards contrary to Sections 120 and 124 of the New Government Accounting System (NGAS) Manual, thus, casting doubt on the accuracy, validity and reliability of the "PPE" account.

2. The LGU's non-compliance with the transition provision on the phased recognition of the Local Road Networks in the books of accounts which requires 75% compliance at the end of calendar year 2018 as mandated under Item IX of COA Circular No. 2015-008 dated November 23, 2015 resulting in understated balance of the "Road Network" account and the total assets of the Municipality.

4. Summary of Significant Audit Observations and Recommendations

The following were the audit recommendations on the above-stated bases for qualified opinion:

1. We recommended that reconciliation of the discrepancy amounting to P51,317,222.26 be made between the Accounting and General Services Office and effect the necessary adjustments to present a fair financial statements of the Municipality.

2. We recommended that the Municipal Mayor direct the:

    1. General Service Officer (GSO) to maintain an updated Local Road Inventory and Road Map and keep a complete Local Road Network Property Card of all roads within its area of jurisdiction;

    2. Municipal Engineer to provide the Municipal Accountant and the GSO with the complete description and cost segregation of the road components for road projects;

    3. Municipal Accountant to:

        a) Record amount of road networks equivalent to the required transition provision percentage every year starting 2016 up to 2019, based on the Local Road Inventory Report provided with complete description and cost segregation of the road components; and

        b) Provide proper disclosure of the road networks in the Notes to Financial Statements.

    4. Inventory committee to conduct inventory of local roads, highways and bridges within its area of jurisdiction which were acquired thru purchase or construction, donations or transfers without cost.

    The other significant audit observation and recommendation is as follows:

3. Some items of the "Due to LGUs" account as at December 31, 2018 in the amount of P16,158,997.89 were inappropriately recorded which is inconsistent with COA Circular No. 2015-009 dated December 1, 2015 prescribing the Revised Chart of Accounts for LGUs, thereby affecting the fair presentation of the financial statements of the Municipality.

    We recommended that the Municipal Mayor instruct the Municipal Accountant to:

    1. Reclassify the items which were inappropriately recorded under the "Due to LGUs" account in compliance with COA Circular No. 2015-009 dated December 1, 2015;

    2. Provide sufficient information for the items needing of such to facilitate its proper recording and disclosure in the financial statements in accordance with Section 111 of P.D. No. 1445; and

    3. Review the transactions recorded in the item which had a negative balance in order to determine its cause and initiate corrections or adjustments to come up with the normal and reconciled balance of the fund transfer.

5. Summary of Total Suspensions, Disallowances and Charges

The Municipality has zero (0) Suspensions, zero (0) Disallowances and zero (0) Charges as at December 31, 2018.

6. Status of Implementation of Prior Year's Audit Recommendations

Out of the nine (9) audit recommendations of last year's report, four (4) were fully implemented, four (4) were partially implemented, and one (1) was not implemented as of year-end.